A STRATEGY FOR MEZO'S MUSD SAVINGS VAULT

Keel

Borrow against your Bitcoin. *Never redeemed.*
Mezo's savings vault lends its idle MUSD to Bitcoin holders, outside redemptions, and savers earn the interest.

keel-psi-seven.vercel.app · github.com/jenzylove/keel · Mezo Buildathon, Track 1

WHY THE LOAN BOOK EMPTIED

MUSD has traded under $0.9925 *since July.*

$0.9925

What redeeming 1 MUSD pays: $1 of BTC, less the 0.75% fee.

$0.991

Where MUSD trades: the 24 hour average of Mezo's own mUSDC/MUSD pool.

Anyone

can buy MUSD cheap and redeem it against the weakest loan. That borrower's BTC is sold out from under them.

Source: Mezo mainnet reads, 2026-10-20 · 02

THE RESULT

Open MUSD loans on Mezo

49 → 1

loans, $3.19M of debt, in June

loan, $14k of debt, on Oct 20

More than $1M of MUSD was redeemed in the 15 days to Oct 20. Mezo’s 1% fixed loan, the cheapest Bitcoin loan around, has almost no takers left.

Source: TroveManager archive reads and redemption events · 03

THE PART NOBODY SEES

Savers get paid when borrowers get *redeemed away.*

1.30M

MUSD of savers' money in the vault's idle strategy, lent to no one (Nov 8)

3.12%

what one sMUSD earned, yearly, over the last 30 days

65%

of it came as BTC fees from redemptions: 8,653 of 13,410 MUSD

Savers' income is the loan book being emptied. With almost no loans left, it is running out.

Source: vault balance read 2026-11-08; yieldIndex and ProtocolYieldReceived events read 2026-10-21 · 04

HOW KEEL WORKS

One governance call *plugs it in.*

01

setStrategy(Keel)

Mezo’s multisig moves the idle MUSD out of IdleStrategy into KeelStrategy.

02

80% stays liquid

Withdrawals draw on it first. The vault never changes.

03

20% lent, outside redemptions

Against BTC or a veBTC NFT, in KeelMarket, not TroveManager. veBTC keeps voting and earning. The small mainnet vault lends up to half.

04

Interest to savers

Released over a week. 10% builds a reserve that takes losses first.

BUILT FOR A FRAGILE PEG

It leans against the peg, *not on it.*

Guard	What it does
Peg premium	Below $0.995 the rate steps up, 1 point a week at most, read from a 24 hour pool average
Throttle	New borrowing pauses while the wall’s dollar side is below a floor
Timelock	Risk and rate settings change only after a 48 hour delay
No new admin	Governed by whoever owns the vault, read live: Mezo’s multisig
Liquidation	Sells at a discount, surplus back to the borrower, principal first on a shortfall

PROOF

Every result *links to its evidence.*

108

unit and fuzz tests

11/11

tests on copies of Mezo mainnet and testnet

235

numbers checked against an answer key, all match

Live

on Mezo mainnet and testnet: BTC and veBTC loans, veBTC votes and auto pay through Keel, liquidations, saver yield

Run a real loan with no wallet on keel-psi-seven.vercel.app: it locks BTC, borrows, repays and gets the BTC back, each step on chain. Every transaction is on /proof.

NEW IN WAVE 2

Built from the judges’ notes, *then shipped.*

01

Move a Mezo loan into Keel

One signature on Mezo’s own loan contracts. Keel pays the Mezo loan off, takes its BTC, and the same debt opens where no redemption can sell it. Done live on testnet.

02

Locked Bitcoin pays its loan

Every week Keel collects a veBTC lock’s rewards, swaps BTC to MUSD on Mezo’s pool, and pays the loan. First live payment Nov 12; the swap is proven on Mezo mainnet’s real pool.

03

Live on Mezo mainnet

Real BTC and MUSD, a 48 hour timelock on every setting, a daily keeper, and 5% of interest paying for it.

04

Safer for savers

Withdrawals show exactly what can leave now, borrowing pauses before liquidity runs thin, and contracts are verified on Sourcify.

FAIR QUESTIONS

What Mezo should ask, *answered.*

Does lending MUSD push the price down?

Sold MUSD adds pressure while a loan is open. The cap holds lending to a fifth of savings, a brake pauses borrowing when Mezo’s peg pool runs thin, and every loan is repaid in MUSD.

Savers never agreed to lend.

80% stays liquid, a reserve takes losses first, and the income comes from borrowers who stay rather than redemptions that run out. Keel also runs as its own opt in vault.

It needs Mezo to plug it in.

For the vault’s idle savings, yes: one setStrategy call by the multisig that owns the vault, already run on a copy of mainnet, and reversible once nothing is lent.

Full answers: docs/PRD.md, section 8 · 09

NEXT

Three milestones.

Next	Real savers and borrowers on the opt in mainnet vault, with small caps, before Mezo is asked to trust Keel with the main vault.
Then	An external audit and a clean mainnet record.
After	A governance proposal for Mezo to move its idle savings into Keel with one setStrategy call.

The money is already there. *It just needs a safe place to be lent.*

keel-psi-seven.vercel.app

github.com/jenzylove/keel

youtu.be/iSvGuXuLK7A